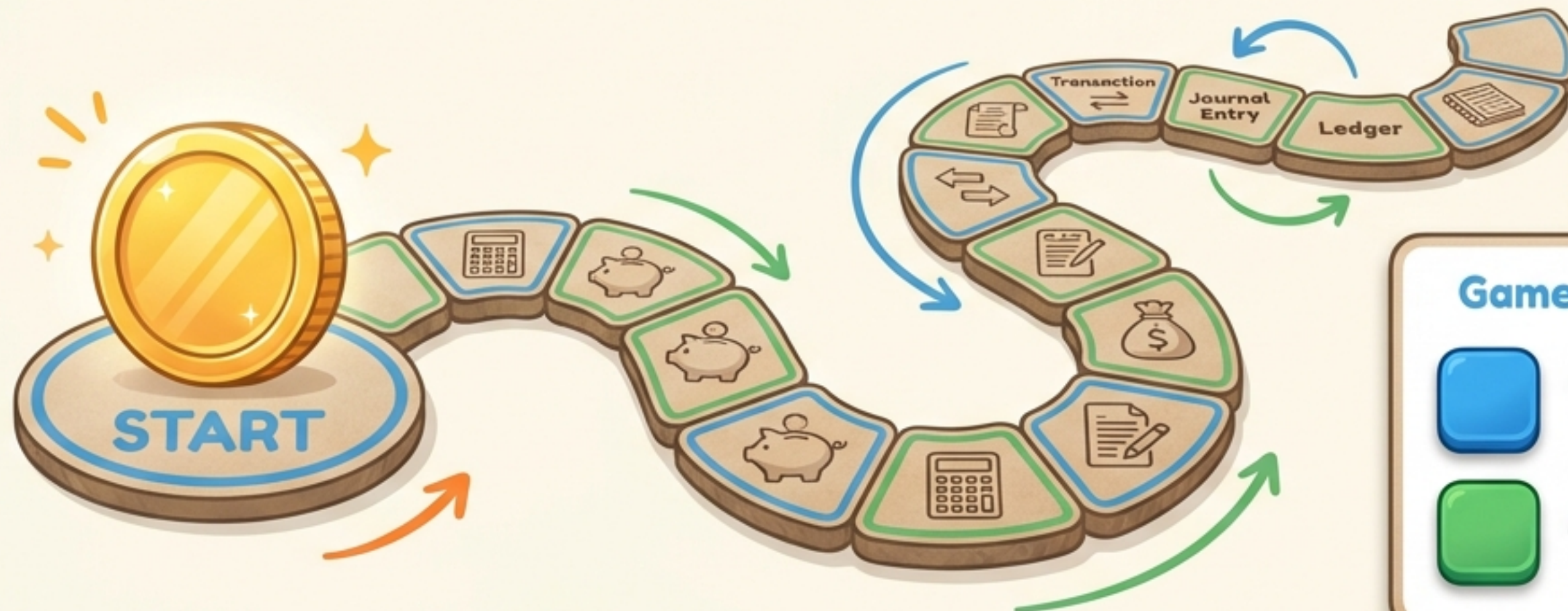




Slide Title: The Accounting Pathway: From Zero to the Balance Sheet

Subtitle: A Step-by-Step Visual Guide to Mastering the Math of Finance



Game Rules & Color Logic



Blue = Debit (Dr.)



Green = Credit (Cr.)

Your 4-Stop Journey Through the Accounting Cycle



The Journal (Daily Diary)

Recording everyday financial events exactly as they happen.



The Ledger (The Sorter)

Grouping those daily events by category (Cash, Rent, Sales).



Trial Balance (Accuracy Check)

Verifying our math.
Do Total Debits = Total Credits?



Final Accounts (The Grand Finale)

Calculating profit and proving the business's total value.

Bookkeeping vs. Accounting: What's the Difference?

Bookkeeping (The Foundation)



Like typing raw data into a spreadsheet.

- Routine, clerical work.
- Only involves recording and keeping permanent records of daily transactions.
- Requires basic knowledge.

Accounting (The Architecture)



Like creating charts, analyzing trends, and making decisions.

- Analytical and interpretive.
- Involves classifying, summarizing, and interpreting the financial results.
- Helps owners and banks make decisions.

The Cheat Code: The 3 Golden Rules of Accounting



Every transaction has two sides: a **giving** aspect and a **receiving** aspect.
This is the **Double Entry System**.



Category

Personal Accounts

(Persons, Companies, Banks)

DEBIT (Dr.)

The Receiver
(who gets)

CREDIT (Cr.)

The Giver
(who gives)

Real Accounts

(Assets like Cash, Furniture, Machinery)

DEBIT (Dr.)

What Comes IN

CREDIT (Cr.)

What Goes OUT

Nominal Accounts

(Expenses, Incomes, Losses, Gains)

DEBIT (Dr.)

All Expenses & Losses

CREDIT (Cr.)

All Incomes & Gains

Stop 1: The Journal (Your Business's Daily Diary)

The Concept



Think of the **Journal** like a WhatsApp chat. Every transaction is recorded chronologically—message by message, day by day.

The Official Format

Accounting Journal

Date	Particulars	L.F.	Debit (Rs.)	Credit (Rs.)

The Account receiving the Debit (Dr.) goes first. The Credit starts with 'To' on the next line.

Narration: A short bracketed story of what happened.

Math Breakdown: How to Journalize a Transaction

Jan 1: Jeyaseeli commenced business with cash Rs.80,000.

Step 1: Identify the two accounts involved



Cash Account

(Money coming into the business)



Capital Account

(The owner giving money to the business)

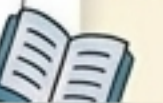
Step 2: Apply the Golden Rules

Cash = Real Account → What comes IN → **DEBIT**

Capital = Personal Account → The Giver → **CREDIT**

Step 3: The Final Journal Entry

Date	Particulars	L.F.	Debit (Rs.)	Credit (Rs.)
Jan 1	<u>Cash A/c ... Dr.</u> <u>To Capital A/c</u> (Being commenced business with cash)		80,000	80,000

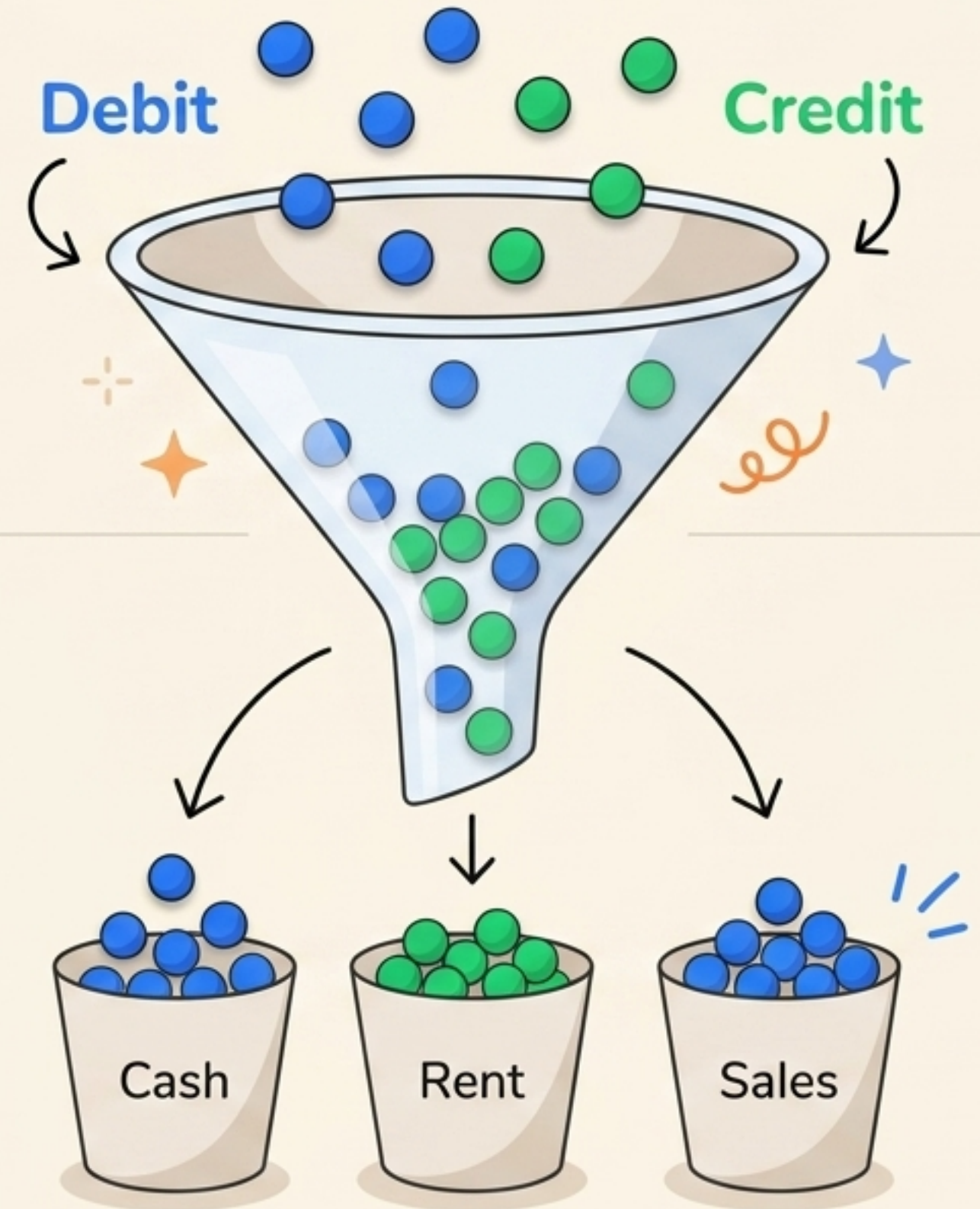
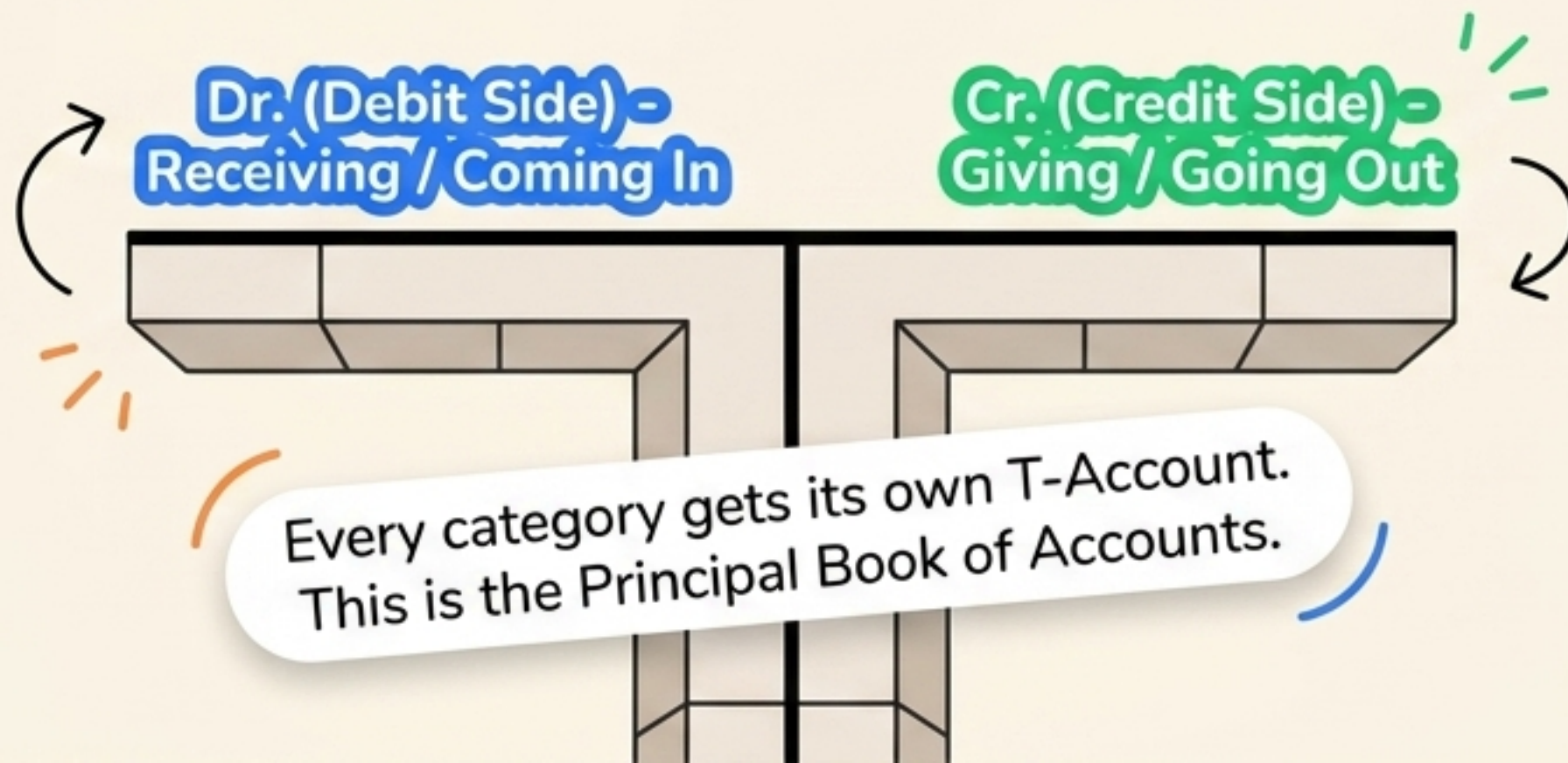


Stop 2: The Ledger (The Great Sorter)

The Concept

If the **Journal** is your main WhatsApp feed, the **Ledger** is clicking into a **specific person's chat history** to see only what happened with them.

The Format



Math Breakdown: Balancing a T-Account

Step 1

Add the heavier side.
Cash came in = 91,000.

Dr.			Cash A/c			Cr.		
Jan 1	To Capital	80,000	Jan 2	By Bank	40,000			
Jan 5	To Sales	11,000	Jan 3	By Purchase	5,000			
			Jan 6	By Salaries	5,000			
			Jan 7	By Furniture	4,000			
			Jan 8	By Elec	1,000			
	Total:	91,000	Jan 31	By Balance c/d	36,000			
Feb 1	To Balance b/d	36,000		Total:	91,000			

Step 2

Add the lighter side.
Cash went out = 55,000.

Step 5

Bring the balance down to start the next month.
b/d means 'Brought Down'.
Jeyaseeli has 36k cash left!

Step 3

$$91,000 - 55,000 = 36,000.$$

Step 4

Insert the difference here to make both sides equal 91,000.
c/d means 'Carried Down'.

Stop 3: The Trial Balance (The Accuracy Checkpoint)



Golden Rule Box

Total Debits MUST equal Total Credits.
If they don't match, you made a math error in Stop 1 or Stop 2!

Always Debits (Blue)

- Cash,
- Purchases,
- Debtors (people who owe us),
- Machinery, Expenses.



Always Credits (Green)

- Capital,
- Sales,
- Creditors (people we owe),
- Loans, Incomes.



Math Breakdown: Tallying the Trial Balance



Particulars	Dr. Amount	Cr. Amount
Purchases	10,362	
Debtors	4,200	
Capital		4,250
Sales		11,906
Creditors		2,000
TOTAL:	19,304	19,304



Stop 4: Final Accounts (The Grand Finale)

1. Trading Account

$$\text{Sales} - \text{Cost of Goods Sold (COGS)} = \text{Gross Profit}$$

Did we make money just buying and selling our raw products?

2. Profit & Loss (P&L) Account

$$\text{Gross Profit} - \text{Operating Expenses} = \text{Net Profit}$$

After paying all the office bills, what is the actual take-home money?

3. The Balance Sheet

$$\text{Assets} = \text{Liabilities} + \text{Capital (plus Net Profit)}$$

A snapshot of everything the business owns vs. owes on the final day of the year.

Math Breakdown: 1. The Trading Account

Sales (Net) minus Factory Costs = Gross Profit

Trading Account

Direct Costs

- Opening Stock: 10,000
- Purchases (75k – 1k returns): 74,000
- Freight & Wages: 6,000

Total Costs = 90,000

Income

- Sales (120k - 2k returns): 118,000
- Closing Stock: 9,000

Total Income = 127,000

127,000 (Income) - 90,000 (Costs) = 37,000. This is your Gross Profit (c/d)! It transfers to the P&L Account next.

Math Breakdown: 2. The P&L Account

Dr.	P&L Account	Cr.
Indirect (Office) Expenses		Gross Profit b/d: 37,000
Bank Charges: 1,000		Accrued Interest: 2,000
Depreciation: 3,000		
		Total Income = 39,000

Machinery was 30,000.
It lost 10% value.
Depreciation = 3,000!

💰 **39,000** (Gross Profit + Interest) – **4,000** (Office Expenses)
➡ = **35,000**. This is your **Net Profit**! This money belongs to
the owner, so it transfers to the **Balance Sheet** next.

Math Breakdown: 3. The Ultimate Balancing Act

Liabilities (What we owe & Owner's Equity)

Capital: 60,000

Add: Net Profit: 35,000

(From P&L)

Creditors: 30,000

Total Liabilities = 1,25,000

Assets (What we own)

Fixed Assets:

Land: 30k

Building: 25k

Machinery
(30k - 3k dep): 27k

Current Assets:

Investment + Int: 12k

Closing Stock: 9k

Bank: 18k

Cash: 4k

Total Assets = 1,25,000



1,25,000 = 1,25,000

The balance sheet tallies!
You have successfully completed the Accounting Cycle!

The Beginner's Cheat Sheet & Pro Tips

Quick Formulas

→ **Accounting Equation:** Assets = Liabilities + Capital



→ **COGS:** Opening Stock + Purchases – Closing Stock



→ **Gross Profit:** Sales – COGS



→ **Net Profit:**

→ Gross Profit – Indirect Expenses + Indirect Incomes



Common Traps to Avoid



Carriage Rule: Carriage Inward (Factory) goes in Trading A/c.
Carriage Outward (Delivery) goes in P&L A/c.



The Double Rule: Closing Stock ALWAYS appears twice (Credit side of Trading A/c AND Asset side of Balance Sheet).



Drawings: Money taken out by the owner is NOT a business expense. It is subtracted directly from Capital on the Balance Sheet.

